INDUSTRIAL COURT OF MALAYSIA

CASE NO: 9/4-1036/23

BETWEEN

TAMIL SELVAM A/L SUBRAMANIAM

AND

DHL EXPRESS (MALAYSIA) SDN. BHD.

AWARD NO: 1931 OF 2025

BEFORE	:	**Y.A. PUAN RUSITA BINTI MD LAZIM** **Chairman (Sitting Alone)**
VENUE	:	Industrial Court of Malaysia Alor Setar
DATE OF REFERENCE	:	29.05.2023
DATES OF MENTION	:	08.08.2024; 04.09.2024; 09.10.2024; 09.12.2024; 18.07.2025; 22.08.2025
DATES OF HEARING	:	13.02.2025; 05.05.2025; 06.05.2025
REPRESENTATION	:	Mr. Sahul Hamid from Malaysian Trade Union Congress (MTUC) for the Claimant. Mr. Kumarrapan and Ms. Pravin Kausar from Messrs Jeeva Partnership for the Respondent

AWARD

[1] This is a reference dated 29 May 2023 by the Director General of Industrial Relations Malaysia to the Industrial Court of Malaysia under Section 20(3) of the Industrial Relations Act 1967 (hereinafter referred to as "the IRA"). This reference is in respect of the dismissal of **Tamil Selvam a/l Subramaniam** (hereinafter referred to as "the Claimant") by his employer, **DHL Express (Malaysia) Sdn. Bhd.** (from now on referred to as "the Company") effective 10 November 2022.

[2] This Court has considered the following cause papers and documents in handing down this Award, namely:

(a) the Claimant's Statement of Case dated 23 July 2023;

(b) The Company's Statement in Reply dated 23 October 2023;

(c) the Claimant's witness statement **(Tamil Selvam a/l Subramaniam)** is marked as "CLWS-1";

(d) The Company's witness statement **(Sukhvinder Singh Rolla Singh)** is marked as "COWS-1";

(e) the Company's witness statement **(Thushan Sanjeewa Gooneratne)** is marked as "COWS-2";

(f) the Claimant's Bundle of Documents marked as "CLB-1";

(g) the Claimant's Bundle of Documents marked as "CLB-2";

(h) the Company's Bundle of Documents marked as "COB-1";

(i) the Company's Bundle of Documents marked as "COB-2";

(j) the Company's Bundle of Documents marked as "COB-3".

A. Brief Facts of the Case

[3] The Claimant commenced his employment with the company on 8 December 2003 as an Operations Assistant.

[4] At the time of the dismissal, the Claimant was holding the position of Lead of Operations Agent and his last drawn basic salary was RM 4278.00 per month.

B. The Claimant's Case

[5] In his Statement of Case, the Claimant avers that–

(a) During his tenure of employment for more than Nineteen (19) years of unblemished record of service, he had carried out his duties in accordance with the company's requirements, rules and

regulations without committing any misconduct;

(b) By way of the company's letter dated 1.11.2022, he was issued a show cause on four (4) non-work-related allegations levelled against him;

(c) By way of his letter dated 2.11.2022, he had replied to the Company's show cause letter and had briefly explained all the Company's allegations;

(d) By way of the Company's letter dated 10.11.2022, the Claimant was notified of the company's decision to terminate his employment with immediate effect;

(e) The Claimant had proceeded to file a claim of unfair dismissal under Section 20(1) of the Industrial Relations Act, 1967;

(f) The Company's allegations are actuated by mala fide, an abuse of management rights to hire and fire, and in complete breach of his right to livelihood.

C. The Company's Case

[6] In its Statement in Reply, the Company avers that–

(a) The Claimant's obligation to serve the Company in good faith, which includes exclusivity and fidelity;

(b) The Claimant failed to disclose his family members' involvement in Key Master Enterprise (KME) which was appointed as the Company's vendor;

(c) The Claimant should not make a profit out of his employment with the Company;

(d) The Claimant had committed serious misconduct which led to his dismissal on 10 November 2022 from the Company;

(e) The Company contends that the dismissal of the Claimant was for just cause or excuse;

(f) After an internal audit investigation and a series of Question & Answer (Q&A) Sessions, it was apparent to the Company that the Claimant may have committed multiple misconducts of a serious nature;

(g) Pursuant to the *Suruhanjaya Syarikat Malaysia's* (SSM) records, the Claimant held himself out to be the sole proprietor of Logistics Master Enterprise ('LME');

(h) From the SSM records, it is undisputed that LME is an active company and the nature of business includes forwarding agent and lorry transportation.

(i) The Claimant should not place himself in a position where his duty and his personal interests may conflict and forthwith inform the Company should he find himself in such situation;

(j) The Claimant was engaged in private business which is in direct competition and/or closely related to Company business or interest;

(k) The Claimant conducted private business during working hours without prior approval of the Company his own benefit or the benefit of a third party;

(l) KME was a former vendor of the Company,

(m) During the Q&A sessions, the Claimant admitted that he and his wife own a Honda Jazz and a BMW car. He and his family

members own about 32 motorcycles, including a Harley Davidson and he had been frequently traveling overseas;

(n) The Claimant's lifestyle and the properties held by him are disproportionate to his known sources of income;

(o) The Claimant had set up an entity known as TS Master of Martial Arts which is an income-generating business and he had breached the Company's code of conduct when he failed to disclose the same to the Company;

(p) The Claimant failed to adequately exculpate himself against the allegations levelled against him;

(q) The Claimant's actions are deemed to be serious as he had committed an act of conflict of interest inconsistent with the fiduciary relationship;

(r) The Claimant's conduct in failing to disclose, amongst others, the conflict of interest is lacking in honesty, truthfulness and accuracy of dealings; and

(s) The Claimant's integrity has been seriously jeopardised as he had breached the very foundation of his contract of

employment with the Company;

D. The Role and Function of the Industrial Court

[7] Reference is made to the decision of the Federal Court in ***Goon Kwee Phoy v. J & P Coats (M) Bhd*** [1981] 2 MLJ 129 on page 136 where His Lordship Raja Azlan Shah, CJ (Malaya) (as His Royal Highness then was) opined–

> *Where representations are made and are referred to the Industrial Court for enquiry, it is the duty of that Court to determine whether the termination or dismissal is with or without just cause or excuse*. If the employer chooses to give reason for the action taken by him the duty of the Industrial Court will be to enquire whether that excuse or reason has or has not been made out. If it is found as a fact that it has not been proved, then the inevitable conclusion must be that the termination or dismissal was without just cause or excuse. *The proper enquiry of the Court is the reason advanced by it and that Court or the High Court cannot go into another reason not relied on by the employer or find one for it.*
>
> *(emphasis is added)*

[8] In ***Milan Auto Sdn Bhd v. Wong She Yen*** [1995] 4 CLJ 449, His Lordship Mohd Azmi bin Kamaruddin, FCJ explained the role of the Industrial Court under section 20 of the IRA as follows–

> *As pointed out by this court recently in Wong Yuen Hock v. Syarikat Hong Leong Assurance Sdn Bhd & Another Appeal [1995] 3 CLJ 344; [1995] 2 MLJ 753, the function of the Industrial Court is dismissal cases on a reference under s.20 is two-fold firstly, to determine whether the misconduct complained of by the employer has been established, and secondly whether the proven misconduct constitutes just cause or excuse for the dismissal. Failure to determine these issues on the merits would be a jurisdictional error.*
>
> *(emphasis is added)*

Burden of Proof

[9] It has been settled that in cases where the dismissal was caused by the employer, it is the employer that must discharge the burden of proof that the dismissal is with just cause and excuse. This long-settled

principle was demonstrated in the case of ***Ireka Construction Berhad v. Chantiravathan Subramaniam James*** [1995] 2ILR 11 (Award No. 245 of 1995**)**, wherein the Learned Chairman opined that:

> *"It is a basic principle of industrial jurisprudence that in a dismissal case the employer must produce convincing evidence that the workman committed the offence or offences the workman is alleged to have committed for which he has been dismissed.* ***The burden of proof lies on the employer*** *to prove that he has just cause and excuse for taking the decision to impose the disciplinary measure of dismissal upon the employee. The just cause must be either a misconduct, negligence or poor performance based on the facts of the case".*

Standard of Proof

[10] The onus or burden of proof is based on a standard of proof on the balance of probabilities as laid down by the Court of Appeal in ***Telekom Malaysia Kawasan Utara v. Krishnan Kutty Sanguni Nair & Anor*** **[**2002] 3 CLJ 314 wherein His Lordship Abdul Hamid Mohamad, JCA opined–

Thus, we can see that the preponderant view is that the Industrial Court, when hearing a claim of unjust dismissal, even where the ground is one of a dishonest act, including "theft", is not required to be satisfied beyond reasonable doubt that the employee has "committed the offence", as in a criminal prosecution. On the other hand, we see that the courts and learned authors have used such terms as "solid and sensible grounds", "sufficient to measure up to a preponderance of the evidence", "whether a case … has been made out", "on the balance of probabilities" and "evidence of probative value". In our view the passage quoted from Administrative Law by H.W.R. Wade & C.F. Forsyth offers the clearest statement on the standard of proof required, that is civil standard based on the balance of probabilities, which is flexible, so that the degree of probability required is proportionate to the nature of gravity of the issue. But again, if we may add, these are not "passwords" that the failure to use them or if some other words are used, the decision is automatically rendered bad in law.

(emphasis is added)

E. Issues

[11] The issues before this Court to be determined are as follows:

(a) Whether the misconduct complained of by the Company had been established; and

(b) Whether the proven misconduct constitutes just cause or excuse for the dismissal.

F. Evaluation of Evidence and Findings of the Court

Whether the misconduct complained of by the Company had been established

[12] The Claimant joined the Company on 8 December 2003. It is among other terms of the Claimant's appointment contract that employment shall be governed by the Rules and Regulations as stated in the Company Handbook. A copy of the relevant clause of the Appointment Letter dated 9.03.2003 and 21.07.2016 is reproduced as follows:

DHL Worldwide Express Sdn Bhd
(Co. No. 23332-X)

PRIVATE AND CONFIDENTIAL

9 December 2003

Tamil Selvam A/L Subramaniam
No. 11 Lorong Nipah 7
Taman Lip Sin
11700 Gelugor
Penang

Dear Tamil Selvam,

Letter of Appointment

I am pleased to offer you an employment as **OPERATIONS ASSISTANT** based in **Penang** in DHL Malaysia (the "Company") and reporting to **Program Manager** for assignment of your duties. This offer is subject to you successfully passing the pre-employment medical examination. By accepting this offer you authorise the Company to conduct a background search on you and the Company reserves the right to terminate this agreement if any information you provided during the application process, is found to be untrue. A job description outlining the current key responsibilities of this position is attached. The following key terms and conditions apply to your employment:

Commencement Date
Your employment commences on **8 December 2003**.

Hours of Work
Your hours of work per week shall be 48. Normal working days are from Monday to Friday, 8.30am to 5.30pm, and Saturday, 8:30am to 12:30pm unless otherwise directed by Management. A lunch break of one hour is included in the above normal working hours.

Salary
Your commencing monthly salary will be **RM1,120.00**. You are responsible for payment of all income taxes and accordingly a deduction will be made from your gross salary each month and paid to the tax authorities. A salary review will be conducted annually on 1 January.

Maybank Account Number
You are required to provide a Malayan Banking account number into which all your wages shall be credited.

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Tamil Selvam A/L Subramaniam
711023-07-5357
9 December 2003

Confidentiality
It is a condition of your employment that both during your employment and at all times thereafter you shall:

- not, except in the proper course of your duties, use or disclose to any person or company any confidential information concerning the financial affairs, accounts, business plans, operational procedures, trade secrets, meetings, transactions or affairs of the Company or of the customers unless such use or divulging by you is required by law and in that event the extent of such use or disclosure shall be limited to that required by law (you shall notify the Company before making any disclosure required by law, and assist the Company in seeking to restrict or prevent any such disclosure).

- use your reasonable endeavours to prevent the unauthorised use, publication or disclosure of any of the matters referred to in the sub-clause above.

- not make or use or knowingly permit to be made or used (otherwise than in the proper course of your duties or for the benefit of the Company during the period of your employment) any notes, drawings or memoranda or any copyright or other industrial property rights or any artwork, recordings, tapes, demos, videos, photos, plans, files, correspondence, accounts, reports or research or other matters relating to or connected with the business dealings or affairs of the Company.

In addition, I acknowledge and understand that the Company is the sole and exclusive owner of the confidential information.

Employee Induction Program *(Applicable to new employees who have no knowledge of DHL business)*
You shall be required to attend courses/training's conducted internally/externally. This includes an initial 4 weeks Induction Program in Petaling Jaya where you are required to achieve a minimum of 85% score. If you fail to achieve the required minimum score, the Company reserves the right to re-evaluate your employment with this Company.

Termination of Employment
Following confirmation of employment, either party may terminate this employment relationship by giving the other party a written termination notice period in accordance with the guidelines contained in the DHL Malaysia Employee Handbook. Either party may dispense such period of notice requirement by paying the other party in lieu of the required notice period.

MAHKAMAH PERUSAHAAN MALAYSIA

Tamil Selvam A/L Subramaniam
711023-07-5357
9 December 2003

In addition, the Company reserves the right to seek your immediate dismissal (subject to applicable laws) if you are found by Company Management to be guilty of committing a case of gross misconduct as defined in the DHL Malaysia Employee Handbook.

The employee must agree as a condition of employment, that if there is an outstanding amount, that it will be deducted from the final salary payment or any unused leave entitlement or any other money held by DHL. If the final payment is insufficient to repay the Company, the employee will have to settle any outstanding amount before leaving the Company.

General
From your date of commencement and for the term of your employment you will be required to abide by the rules of the DHL Malaysia Employee Handbook which may be amended from time to time. Please note that all other policies referred to herein may also be revised by the Company from time to time.

I take this opportunity to congratulate you on your appointment and to wish you every success in your future career with us. Please indicate your acceptance of this offer and the terms and conditions set out in this letter by signing below and returning the duplicate copy of this letter to me **within 5 days** of this offer, after which time this offer will expire.

Yours Sincerely
DHL WORLDWIDE EXPRESS SDN BHD

Ho Swee Chin
Resourcing Manager

I have read and understood the above conditions, and agree with them.

_____
Tamil Selvam A/L Subramaniam
(NRIC: **711023-07-5357**)

Date: _____

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DHL Express (Malaysia) Sdn Bhd
(Co. No. 23332-X)

PRIVATE AND CONFIDENTIAL

21 July 2016

Tamil Selvam A/L Subramaniam
Employee No. 13002218
GPN - Ops
DHL Airfreight Forwarder Sdn. Bhd.

Dear *Tamil Selvam,*

RE: NEW APPOINTMENT AS LEAD OPERATIONS AGENT

We are pleased to offer you the above position based in **Penang Gateway**. The terms and conditions of service are outlined below.

The Company reserves the right to introduce, modify, amend or annul any terms and conditions of employment at any time during its operation. Employees affected by such changes shall be duly informed which shall hence forth form part of the terms and conditions of service.

The following are the details pertaining to the above appointment:

Date of Commencement	:	**1 July 2016**
Basic Commencing Salary	:	**RM 3,202.00** per month.
Job Grade	:	This position is evaluated as **Grade 7**.
Job Related Transport Allowance	:	Remain Unchanged.
Shift Allowance	:	Remains Unchanged.
Job Function and Accountability	:	You will report to the **Gateway Supervisor**. Your job functions for this position within the Organisation will be further discussed between your Manager and yourself.
Functional Incentive Scheme	:	You will be eligible to participate in the **Annual Incentive Plan.** Targets will be agreed by your Manager. Payment of this scheme is dependent on the Company and you both meeting required performance targets. Consequently, payment may be withheld if performance is below expectations.

Any other allowances provided to you that are not mentioned above will be removed from the date of commencement. However, all remaining terms and conditions of employment will **remain unchanged**.

Head Office:

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[13] It is clear from the confidentiality clause of the employment contract that there are warnings and prohibitions on employee acts and actions that warrant immediate termination for serious misconduct. For clarification, there were four (4) charges leveled against the Claimant as follows:

Charge 1

> *Pursuant to the Companies Commission Malaysia's records, it is undeniable that you are and/or held yourself out to be, sole proprietor of Logistic Master Enterprise. During Q & A Session,* ***you had admitted, amongst others that Logistic Master is involved in transportation business, a business which is in direct competition to the services provided by DHL, and further failed to declare the same to the Company.*** *You had also made false declaration in the Declaration of Interest document wherein you failed to declare, as annually required to do so, any potential conflict of interest.*
>
> *This was while you are employed and paid a salary by DHL, and despite company's policy requiring your exclusivity and fidelity towards the Company. You received no authorisation from DHL to involved with Logistic Master and/or any other business and/or work*

outside DHL. Your acts/admissions amount to unauthorised breached of your duties and contractual obligations as to exclusivity and fidelity, gross misconduct and failure to adhere to applicable rules and policies pertaining to discipline and work ethics.

Charge 2

From the Companies Commission Malaysia records, Key Master Enterprise (Reg. No: PG0198599-T), it is undisputed that your wife, Gowri A/P Ramiah, your nephew Sathishvaran A/L Ramasamy and your cousin Nanthakumar A/L Ragvan has been proprietors for various time period at Key Master Enterprise. ***Not only you had failed to declare and/or bring to the Company's attention your family's involvement, you had also made false declaration in Declaration of Interest document, wherein you failed to declare any potential conflict of interest with regards to Key Master Enterprise****.*

Charge 3

During the Q & A Session, you had admitted that you and your wife own a Honda Jazz and BMW car. Further you and/or your family members own about 32 motorcycles which includes a

Harley Davidson. Also, you have been frequently travelling overseas. ***Given your remuneration scale in the Company and your declaration to the Company, it appears to be you are holding properties disproportionate to the known sources of income****.*

Charge 4

Further during Q&A Session, it was disclosed by you that ***you have set up TS Master of Martial Arts an entity which is of an income generating business. Non-Disclosure of the same is in clear conflict of DHL's code of conduct****.*

[14] Following the "Whistleblower" email dated 25 October 2022, which linked the Claimant with allegations of financial impropriety, illegal money, mafia activities. The "Whistleblower" email named the perpetrator as the Claimant who owns the business known as Logistic Master Enterprise, the Claimant was called for a Q&A session on 28 October 2022.

[15] Considering the registration records issued by SSM confirming that the Claimant owns LME, the Claimant was instructed to submit a bank statement for a period of three years. The Claimant's Representative submits that during the Q & A session, the Claimant was

instructed to sign a **"CONSENT"** letter, submit bank statements for a period of three (3) years, and hand over his mobile phone for investigation of its contents.

[16] It was found that upon completion of the Q & A session, he was given a letter of suspension from work for a period of fourteen (14) days with full salary effective 28.10.2022. Upon considering the "whistleblowing" issue, the Company, through a letter dated 1.11.2022, had issued a show cause letter listing all four charges copies of Letter of Suspension dated 28.10.2022 is represented as follows:-

[redacted]

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DHL Express (Malaysia) Sdn Bhd - Level 27 Menara TM - 50672 Kuala Lumpur

PRIVATE & CONFIDENTIAL

28th October 2022

Name : Tamil Selvam a/l Subramaniam (Employee ID: 13002218)
Position : Lead Operations Agent
Location : MY - Penang Gateway

LETTER OF SUSPENSION

The management has received complaints against you and are presently investigating into the matter.

Accordingly, you are suspended from service for a period of fourteen (14) days with immediate effect pending the outcome of our investigation.

During your suspension:

(a) You are not permitted to enter the Company premises, but you must at all times be contactable via your mobile phone.

(b) You are suspended on full pay with benefits, except for any payments or benefits that depend on you being physically present at work or performing services

(c) You will co-operate in our investigations and, if required, attend investigatory interviews.

(d) You must not contact any of our employees or any customers or prospective customers

Kindly sign this letter as acknowledgement of receipt.

Yours sincerely

.....
Thushan Sanjeewa Gooneratne
Vice President, Operations

C.c.: Jasweet Kaur A/P Gurbachan Singh, Senior Director, Human Resources
Julian Neo, Country Manager

I, Tamil selvam hereby acknowledgement of receipt of this letter on 28/10/22

Yours faithfully,

.....

Name : Tamil Selva

Employee ID : 13002218

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Company registration no. 23332-X

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[17] As regards the four charges levelled against the Claimant, an investigation Question & Answer (Q&A) session was conducted by the HR Team from Kuala Lumpur, whom include COW-2. The session was conducted on two occasions, 28.10.2022 and 09.11.2022. The learned counsel for the Company submits that the panel found that:

(i) ***Logistic Master Enterprise (LME) - The Competing Business:*** *Official SSM searches confirmed the Claimant was the sole proprietor of LME,* ***a transportation business****. The Claimant also admitted that LME's business nature was the same as the Company's and explicitly agreed that this constituted a* ***"clear conflict of interest".***

(ii) ***Key Master Enterprise (KME) - The Undisclosed Vendor:*** *It was discovered that the Claimant's wife, Gowri a/p Ramiah, was a proprietor of KME. It is noted that KME was a registered vendor for the Company for the transportation task between 2012 and 2015. The Claimant also failed to declare this direct familial and commercial conflict to the Company regarding KME.*

[18] The obligation of employees to declare their income, assets, and interests in other companies is strictly provided for under the Employment Handbook. Failing to declare the same, it may create a conflict of interest. This mandatory requirement ensures that the Company's interests are protected.

[19] The employees are prohibited from competitive businesses such as transportation and logistics. Upon the completion of the investigation and inquiry session, the Company found that there were several offences alleged to be committed by the Claimant. Having gathered all the evidence, the Company issued a Show Cause Letter on 01.11.2022 to the Claimant, allowing him to formally explain himself in relation to four main allegations of misconduct: A copy of the Show Cause Letter dated 1.11.2022 is reproduced as follows:

[redacted]

DHL Express (Malaysia) Sdn Bhd - Level 27 Menara TM - 50672 Kuala Lumpur

PRIVATE & STRICTLY CONFIDENTIAL

1st November 2022

Name : **Tamil Selvam A/L Subramaniam**
Position : Lead Operations Agent
Employee ID : **13002218**
Location : MY Gateway - Penang

NOTICE TO SHOW CAUSE

It has been brought to our attention that you have committed the following misconducts:

1. Pursuant to the Companies Commission Malaysia's records, it is undeniable that you are and/or held yourself out to be, the sole proprietor of Logistic Master Enterprise. During the Q& A Session, you had admitted, amongst others that Logistic Master is involved in transportation business, a business which is in direct competition to the services provided by DHL and further failed to declare the same to the Company. You had also made false declaration in the Declaration of Interest document wherein you failed to declare, as annually required to do so, any potential conflict of interest.

   This was while you are employed and paid a salary by DHL, and despite company's policy requiring your exclusivity and fidelity towards the Company. You received no authorization from DHL to be involved with Logistic Master and/or any other business and/or work outside DHL. Your acts/ admissions amount to unauthorized breach of your duties and contractual obligations as to exclusivity and fidelity, gross misconduct and failure to adhere to applicable rules and polices pertaining to discipline and work ethics.

2. From the Companies Commission Malaysia records, Key Master Enterprise (Reg No PG0198599-T), it is undisputed that your wife, Gowri a/p Ramiah , your nephew Sathishvaran a/l Ramasamy and your cousin Nanthakumar a/l Ragavan has been proprietors for various time period at Key Master Enterprise. Not only you had failed to declare and/or bring to the Company's attention your family's involvement, you had also made false declaration in Declaration of Interest document wherein you failed to declare any potential conflict of interest with regards to Key Master Enterprise.

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Company registration no. 23332-X

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[redacted]

DHL Express (Malaysia) Sdn Bhd - Level 27 Menara TM - 50672 Kuala Lumpur -Malaysia

3. During the Q&A Session, you had admitted that you and your wife owns a Honda Jazz and BMW car. Further you and/ or your family members own about 32 motorcycles which includes a Harley Davidson. Also, you have been frequently traveling overseas. Given your remuneration scale in the Company and your declaration to the Company, it appears to be you are holding properties disproportionate to the known sources of income.

4. Further during the Q& A session, it was disclosed by you that you have set up TS Master of Martial Arts an entity which is of an income generating business. Non-Disclosure of the same is in clear conflict of DHL's code of conduct.

You are hereby required to show cause in writing within three (3) working days from the date herein as to why disciplinary action(s) should not be taken against you for the above stated allegations which constitutes a serious misconduct. Once we have received your response on these allegations and had the opportunity to review them, we shall notify you as to the Company's position.

If you fail to offer reasonable explanation within the stipulated period stated herein, we shall assume you have no reasonable explanation. As such, the Company shall proceed to take disciplinary action against you.

Kindly sign this letter as acknowledgement of receipt.

Yours sincerely

.....

Thushan Sanjeewa Gooneratne, Vice President, Operations

C.c.: Jasweet Kaur A/P Gurbachan Singh, Senior Director, Human Resources
Julian Neo, Country Manager

I Tamil Selvan do hereby acknowledgement of receipt of this letter on 1 Nov 2022

Yours faithfully,

1/11/2022

.....

Name : Tamil Selvan Employee ID : 13002218

DHL Express -- Excellence. Simply delivered.

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Operating an undeclared competing business (LME);

[20] The Company submits that the Claimant operated LME, a transportation business in the same industry, and knowingly failed to declare this direct competition, an act he himself admitted was a "clear conflict of interest. It is a trite fact that every employee in DHL is required to submit an annual Declaration of Interest. The Claimant, during the cross-examination, admitted that he never declared LME since it's establishment as stated in the first charge as follows:

RK	*Kamu sahkan kamu dinyatakan sebagai pemilik tunggal LME*
TAMIL	*Ya*
RK	*Sole proprietorship, lepas itu owner dia Tamil Selvam, betul?*
TAMIL	*Betul*
RK	*LME ini ditubuhkan pada tahun 2013, di mana kamu masih bekerja dengan DHL sehingga kamu ditamatkan pekerjaan dan sehingga ke hari ini.*
TAMIL	*Ya*

RK	*Soalan saya, semasa LME ditubuhkan, kamu adalah pekerja DHL dan semasa kamu ditamatkan pekerjaan, kamu juga pemilik LME dan sehingga ke hari ini?*
TAMIL	*Ya*
RK	*Saya cadang, kamu sebagai pemilik tunggal LME, menjalankan business transportation adalah clear conflict of interest dengan DHL, semasa kamu jadi pekerja DHL. Setuju?*
TAMIL	*Semasa bekerja setuju*
RK	*Kamu setuju kamu* ***tidak pernah declare mengenai syarikat LME kepada DHL pada bila-bila masa melalui DOI****, setuju?*
TAMIL	***Ya***
RK	***Setuju, kamu sedia arif bahawa Logistic Master Enterprise... adalah violation to DHL Code of Conduct?***
TAMIL	***Setuju***

[21] Having perused the evidence adduced, the Court finds that the Claimant had actively engaged in the transportation business, the

same nature of business as the Company. It is a trite fact that the Claimant, while still the Company's employee, had a direct interest that he concealed from his employer.

[22] The Court in the case of ***Teh Seng Kay v United Coatings Technology Sdn Bhd*** [2014] MELRU 256 held that :

> *"[17] Under these circumstances it is reasonable for COW-1 to infer that Claimant through Jamax Industries was also doing business in competition with the Company while working for the Company. This fact do give rise to a conflict of interest situation and for COW-1 to have lost his trust and confidence on the Claimant. The Claimant never revealed to the Company his interest in Jamax Industries until COW-1 found out on his own. COW-1 under the circumstances cannot be said that he can trust the Claimant to protect the interest of the Company.*
>
> *[18] Taking into considerations of all these factors this Court finds that the dismissal of the Claimant was not unfair and Claimant was dismissed with just cause and excuse".*

[23] The Court in that case, which has quite similar facts to our case, concluded that the employer's loss of trust was a reasonable and inevitable consequence of the employee's deceptive conduct. Having considered that the Claimant controls the LME operation, which

competes directly with DHL's services, his failure to declare his relationships with LME represents a serious breach of trust and transparency. A copy of SSM Search on LME is reproduced as follows:

SURUHANJAYA SYARIKAT MALAYSIA
COMPANIES COMMISSION OF MALAYSIA

ALTHOUGH ALL EFFORTS HAS BEEN CARRIED OUT TO ENSURE THAT THE INFORMATION PROVIDED IS ACCURATE AND UP TO DATE, THE REGISTRAR OF BUSINESSES WILL NOT BE LIABLE FOR ANY LOSES ARISING FROM ANY INACCURATE OR OMITTED INFORMATION.

** BUSINESS INFORMATION **

NAME	: LOGISTIC MASTER ENTERPRISE
REGISTRATION NO.	: 201303077431 (PG0319258-T)
PRINCIPLE PLACE OF BUSINESS	: 2A-05-19 PALACE PLAZA, LENGKOK NIPAH 11900 BAYAN LEPAS PULAU PINANG
BUSINESS OWNERSHIP	: SOLE PROPRIETORSHIP
BUSINESS START DATE	: 20-03-2013
REGISTRATION DATE	: 20-03-2013
BUSINESS EXPIRY DATE	: 15-06-2027
LAST AMENDMENT DATE	: 28-08-2019
STATUS	: ACTIVE

** BUSINESS TYPE **

FORWARDING AGENT, LORRY TRANSPORT

** BRANCH INFORMATION **

*** NO BRANCH ***

e-Info

UserID: dorai73 Date: Wed Nov 08 11:07:53 2023 Printing Date: 08-11-2023

This business information is computer generated from SSM e-Info Services as at 08-11-2023 11:07:53

MENARA SSM@SENTRAL, NO. 7 JALAN STESEN SENTRAL 5, KUALA LUMPUR SENTRAL, 50470 KUALA LUMPUR.
Tel: 03-2299 4400 Fax: 03-2299 4411

SURUHANJAYA SYARIKAT MALAYSIA
COMPANIES COMMISSION OF MALAYSIA

**** INFORMATION OF CURRENT OWNER ****

NAME	: TAMIL SELVAM A/L SUBRAMANIAM
RESIDENTIAL ADDRESS	: NO. 11 LORONG NIPAH 7 TAMAN LIPSIN, 11700 GELUGOR PULAU PINANG
IC(OLD)	: A2094106
IC(NEW)	: 711023075357
DATE OF BIRTH	: 23-10-1971
RACE	: INDIAN
GENDER	: MALE
NATIONALITY	: MALAYSIAN CITIZEN
DATE OF ENTRY	: 28-08-2019

e-Info

[24] The Claimant admitted that LME is involved in the transportation business, a business which is in direct competition with the services provided by the Company. He had made a false declaration in the Declaration of Interest (DOI) document wherein he failed to declare any conflict of interest and/or potential conflict of interest. Therefore, the Claimant had committed serious misconduct that would warrant a dismissal.

[25] It is a settled principle that an employee cannot faithfully serve two masters, especially when their interests are in direct opposition. Having read the submissions of both parties, the Claimant has failed to adhere to the rules and regulations of the Company's Employment Handbook and Code of Conduct. Therefore, the Claimant has committed serious misconduct as stated in the first charge.

Failing to disclose his family's interest in a Company vendor (KME);

[26] The learned counsel for the Company submits that the Claimant committed a serious and calculated breach of his duty of fidelity and the

Company's Code of Conduct by failing to declare that his wife Gowri A/P Ramiah, nephew Sathiswaran A/L Ramasamy and his cousin Nanthakumar A/L Ragvan were proprietors of Key Master Enterprise (KME), an active vendor of the Company between 2012 and 2015. This concealment created a clear conflict of interest, placing his family's financial gains in direct intersection with his duties and responsibilities to the Company.

[27] In the case of ***Teh Seng Kay v United Coatings Technology Sdn Bhd (supra),*** where the Claimant who was a sales manager failed to disclose a competing business registered under his wife's name. The Claimant also said that it was his wife who registered a company by the name of Jamax Industries Sdn Bhd and it was registered on 7 August 2012, five days before Claimant was compelled to resign. In upholding the dismissal, the Court rejected the notion that the employee was a mere "inactive shareholder".

[28] The SSM search confirms that the Claimant's wife, Gowri, was a proprietor of KME during the material time, and Company's invoices prove that KME was actively engaged as a vendor, billing DHL directly

for services from 2012 to 2015. The Claimant, during the evidence in Court, has testified as follows:

CHM	*Kamu tidak declare kepada DHL, Perniagaan isteri dan Nanda Kumar adik ipar kamu itu kepada DHL, setuju ke tak?*
TAMIL	*Setuju*

[29] The Representative for the Claimant's submission that the Claimant was "not aware" of the requirement to declare such a relationship is not only incredible but is an affront to reason. As a Lead of Operations Agent with 19 years of service was required to submit an annual Declaration of Interest forms; his claim of ignorance was untenable. It is transparent self-avoidance to adhere to the stipulated provision in the employment handbook and the Company's Code of Conduct.

[30] It is also a basic requirement that if someone wishes to submit a quotation or bid for a service contract, the bidder or price quoter must declare that they have no relations or conflicts of interest with the

company. In the case of ***Azliyah binti Samsi v Petronas Management Training Sdn Bhd*** [2019] MELRU 1033, the Court held that the dismissal of an employee for failing to disclose family-owned vendors was upheld. It was further held:

> *"In ethics, integrity is the honesty, truthfulness and accuracy of dealings; all unfortunately and conspicuously found wanting in the Claimant's conduct in this case. It was therefore unsafe and indeed unreasonable to expect the Company to continue her employment. [I take comfort in this ruling from the authority of the following cases".*

[31] It is an established principle that the legal test for such non-disclosure of the interest in the competing companies, the employer's burden is not to prove the consequences of the concealment, such as financial loss, but simply the concealment itself. On the other hand, the misconduct is not contingent on proving financial loss or malicious intent. The act of non-disclosure itself points directly to a fundamental lack of integrity and is a dismissible offense. Therefore, the Claimant has committed serious misconduct as stated in the second charge.

Holding properties disproportionate to his known sources of income, raising concerns about the integrity of his dealings

[32] Disproportionate assets owned by the Claimant are not primary evidence to describe a situation where the Claimant's asset value significantly exceeds the assets he should possess after accounting for the assets that he previously held and all legal sources of income. An undisclosed wealth is an actionable however, it is not deemed a crime until and unless it is proven that the wealth was acquired by illegal means.

[33] The Company's investigation into the Claimant's assets was not conclusive evidence that the Claimant was involved in illegal money and mafia activities. Money laundering, if proven, is a serious offense and punishable with imprisonment. Without proving it beyond a reasonable doubt, the allegation via the whistle email is untenable due to insufficient evidence.

[34] Furthermore, the Company also failed to prove that the Claimant's luxurious life was the proceeds of undisclosed activities and was gained

throughout his employment with the Company that would warrant a dismissal.

Operating another undeclared income-generating business (TS Master of Martial Arts).

[35] The Company's counsel submits that the Claimant's failure to declare his third business, TS Master of Martial Arts, and the subsequent investigation into his disproportionate assets are not standalone charges. Rather, they are crucial corroborating evidence that demonstrates the concealment of LME and KME were not isolated oversights.

[36] The Company's counsel further submits that the Claimant admitted that every year, when submitting the annual ***Declaration of Interest (DOI)*** form, he was given a clear opportunity to rectify his omissions. Instead, he made a conscious choice to submit a declaration that he knew to be false. During cross-examination, the Claimant agreed that his failure to list LME, KME, and TS Master of

Martial Arts rendered his official submissions to the Company "wrong and untrue". The evidence is reproduced as follows:

RK	*Dengan demikian kamu telah membuat satu declaration yang salah dan tidak benar apabila kamu gagal untuk menyatakan syarikat LME, KME dan TS Master Art dalam declaration kamu kepada syarikat.*
CHM	*Setuju ke tak dengan cadangan pihak syarikat?*
TAMIL	*Ya. Setuju*

[37] The evidence indicates the Claimant was aware that failing to disclose his interest in the three companies, LME, KME, and TS Master Martial Arts, was dishonest and improper from the beginning. His failure to disclose other business interests, in addition to his employment at DHL, suggests a lack of integrity and a disregard for company policies. Consequently, this Court finds that the intentional concealment of his personal interests in those companies, while employed by the Company, constitutes serious misconduct, justifying termination of his employment.

[38] This Court refers to the case of ***Azliyah binti Samsi v Petronas Management Training Sdn Bhd (supra),*** *which* provides powerful authority on the nature of misconduct in ***conflict of interest***. The Court decisively held that the core wrongdoing is the ***failure to disclose***, and the employer's burden of proof does not extend to proving the consequences of that failure, such as malicious intent or financial loss. Consequently, the Company terminated the Claimant's employment through a Termination letter dated with immediate effect on 10.11.2022. The decision was made because the Claimant had committed serious misconduct that demonstrated a fundamental lack of integrity and irrevocably destroyed the trust and confidence essential to the employer-employee relationship.

[39] The Claimant owes the Company a fiduciary duty, trust, and confidence. In the case of ***Sitt Tatt Industrial Gases Sdn Bhd v. Puvananderan Ganasamoorthy*** [2003] 2 ILR 485 (Award No. 396 of 2003), the Court held that:

> *"Since the employer-employee relationship carries with it the duty of fidelity on the part of the employee and also a relationship of trust and confidence; dishonesty on the part of the employee is an attack upon the trust and confidence of the employer."*

[40] The Court of Appeal in ***Zaharen bin Hj Zakaria v Redmax Sdn Bhd & Other Appeals*** **[2016] 7 CLJ 3805** first distinguished the duty of fidelity from the stricter fiduciary duty, making it clear that all employees owe a duty of loyalty:

> *"[4] Under the law, an employee of a company has a duty of fidelity to be observed at all times during his employment with the company. What is this duty of fidelity? Every employment contract contains an implied term that an employee will serve his employer with good faith and fidelity (the duty of fidelity). The duty of fidelity is owed by all employees and is to be distinguished from a fiduciary duty. A fiduciary duty requires an employee to act in the interests of his employer, whereas the duty of fidelity requires an employee to have regard to his employer's interests. Inherent in that duty to have regard to his employer's interests must be a duty not to act in a manner which would be to disregard his employer's interests. Such acts must include acts that are inherently detrimental to his company's interests.*
>
> *(emphasis is added)*

[41] This Court is of the view that, being Lead of Operation Agent with almost 20 years of service, the Claimant owed a duty to the Company

to be diligent in discharging his duties to protect its interest provided for in his employment contract. The Court, having carefully considered his reply to the show cause notice through his written reply dated 02.11.2022 and his explanation on disregard of his employer's interest, found his reply to be unsatisfactory and lacking in credibility, specifically for the first, second and fourth charges.

[42] Following the Q&A sessions, the Company was satisfied that it had proved the allegations made against the Claimant. The Company found that the Claimant has committed grave misconduct that justified the issuance of the Termination Letter dated 10.11.2022 as follows:

15

DHL Express (Malaysia) Sdn Bhd - Level 27 Menara TM - 50672 Kuala Lumpur

PRIVATE & CONFIDENTIAL

10th November 2022

Name : Tamil Selvam A/L Subramaniam
Employee ID : 13002218
Position : Lead Operations Agent
Location : MY - Penang Gateway

LETTER OF TERMINATION OF SERVICE

Upon receipt of complaints against you, Question and Answer sessions were held to inquire and to seek your explanation.

A Notice to Show Cause dated 1st November 2022 was served on you, affording you an opportunity to submit your explanation. We have considered your explanation given vide letter dated 2nd November 2022.

Based on the matters / issues that transpired during the Question and Answer sessions, the Company reasonably believes that you have committed serious misconduct which includes, but not limited to:

i. During the Q&A Session, you had admitted, amongst others that Logistic Master, a sole proprietor registered under your name, is involved in transportation business, a business which is in direct competition to the services provided by DHL and further failed to declare the same to the Company. This was while you are employed and paid a salary by DHL, and despite company's policy requiring your exclusivity and fidelity towards the Company. You received no authorization from DHL to be involved in Logistic Master and / or work outside DHL. Your acts / admissions amount to breach of your duties and contractual obligations as to exclusivity and fidelity, gross misconduct and failure to adhere to applicable rules and policies pertaining to discipline and work ethics.

ii. From the Companies Commission Malaysia records, it is undisputed that your wife, Gowri A/P Ramiah, your nephew Sathishvaran A/L Ramasamy and your cousin Nanthakumar A/L Ragavan have been proprietors during various time period at Key Master Enterprise. Further, you had failed to declare and / bring to the Company's attention your family's involvement in Key Master Enterprise (Reg No. PG01988599-T). Key Master Enterprise is a vendor engaged by the Company and you had made false declaration in Declaration of Interest document wherein you failed to declare any potential conflict of interest with regards to Key Master Enterprise.

MAHKAMAH PERUSAHAAN MALAYSIA

DHL Express (Malaysia) Sdn Bhd - Level 27 Menara TM - 50672 Kuala Lumpur - Malaysi

iii. During the Q&A Sessions, you had admitted that you and your wife own a Honda Jazz and BMW motorcar. Further you and / or your family members own about 32 motorcycles which include a Harley Davidson and BMW. Also, you have been frequently travelling overseas. Given your remuneration scale in the Company and your declaration to the Company, it appears that you are holding properties disproportionate to the known sources of income. You had failed to adequately explain your source of income.

iv. Further during the Q&A session, it was disclosed by you that you have set up TS Master of Martial Arts an entity which is of an income generating business. This is in clear conflict of DHL's code of conduct.

Therefore, in view of the foregoing and the matters raised / issues in the Question and Answer sessions, you are hereby dismissed from service with immediate effect.

All monies due to you will be banked into your account within seven (7) days from date hereof. You are required to handover all properties in your possession to the Human Resources Department upon receipt of this letter.

Kindly sign this letter as acknowledgement of receipt.

Yours sincerely

.....
Jasweet Kaur A/P Gurbachan Singh
Senior Director, Human Resources

C.c.: Julian Neo, Country Manager
Thushan Sanjeewa Gooneratne, Vice President, Operations

I, _____ hereby acknowledgement of receipt of this letter on_____

Yours faithfully,

.....
Name :
Employee ID :

DHL Express (Malaysia) Sdn Bhd
Level 27, Menara TM,
Off Jalan Pantai Baharu,
50672 Kuala Lumpur
Malaysia

Phone +60 3224 180-00
www.dhl.com.my

Company registration no. 23642 X

MAHKAMAH PERUSAHAAN MALAYSIA

Whether the proven misconduct constitutes just cause or excuse for the dismissal.

[43] The Court is satisfied that the Company has been fair in dealing with the issue of the Claimant's misconduct. There was no evidence to suggest that the Claimant was confused or misled when responding to the allegations made against him in the inquiry. The Claimant has been given the space and time to dispute the allegations against him. The Claimant also did not challenge the validity of the evidence tendered in court.

[44] There is also no evidence to show that from the very beginning of the establishment of the Companies LME, KME and TS Master of Martial Arts, the Claimant was honest and declared his relationship and interest in all three Companies. For several years, the Claimant has received benefits in the form of salary and other fixed remuneration from the Company. Unfortunately, the Company's kindness has been reciprocated by generating personal profits using his position and experience in the Company.

[45] The Claimant's failure to declare his interest and actively

participate in LME and KME, whose business type in question is transportation, indicates that the Claimant exploited and misused his role at DHL for personal benefit. Furthermore, the Claimant's position within the Company may also be leveraged by KME, which is owned by the Claimant's spouse and family.

[46] The employees entrusted with responsibilities must act in good faith and shall not abuse the confidence and trust placed in them by the Company. confidence and trust reposed in him by the company. BR Ghaiye in ***Misconduct in Employment; Chapter XIX at pp 650 and 651*** described the fiduciary relationship as follows:

> *"The servant stands in fiduciary relation. The relation between an employer and an employee is of fiduciary character. The word 'fiduciary' means belonging to trust or trusteeship. It means that whenever an employer engages a worker, he puts trust that the worker will faithfully discharge the service and protect the interest of the employer.*
>
> *….If the employee continues in service, then one of the obvious remedies for breach of faith is to dismiss him".*

[47] Given the circumstances, an employer is entitled to dismiss an employee who acts in a manner inconsistent with the faithful discharge

of his duties toward his employer. In ***Asahi Industries (M) Sdn Bhd v. Lim Mui Lin*** [2000] 1 MELR 726; [2000] 2 ILR 29, the Industrial Court held:

> *"In any establishment, be it public or private,* ***trust and confidence are of utmost importance, if any of the two is lacking then it becomes very difficult for the employer to continue keeping the employee in his employment****".*

[48] The gravity of the Claimant's misconduct is too serious for the Company to compromise, even though the Claimant has served the Company for 19 years. The trust and confidence placed in the Claimant for years by the Company to safeguard the interests and generate profits for the Company have been violated by the Claimant. If this behavior is not curbed, it will be followed by all employees which will ultimately destroy the Company's long-established organization.

[49] The Claimant's untrustworthiness and dishonesty are the causes of broken relationships between the employee and the employer that justified immediate dismissal. In the case of ***Mohd Aminuddin Md Zain & Ors v. Perbadanan Usahawan Nasional Berhad [***2006] 3 ILR 2172; [2006] 2 MELR 692, wherein the Learned Chairman opined:

"The relationship between the employer and employee is fiduciary character. What this means is that whenever an employer engages an employee, he puts trust that the employee will faithfully discharge his service and protect the interests of the employer. Once the trust is breached, it causes the employer to lose trust and confidence in the employee, as in the instant case, to protect his interest and hence justifies an immediate dismissal."

[51] Having considered all facts and evidence, the Company cannot reasonably be expected to retain the Claimant's employment due to a deliberate act of dishonesty on his part, which constitutes serious misconduct**.**

Proportionality of Punishment

[52] The proportionality principle requires the court to strike a balance between the severity of the workman's conduct and the punishment imposed. In ***Norizan Bakar v. Panzana Enterprise Sdn Bhd*** [2014] 1 MELR 1; [2013] 6 MLRA 613; [2014] 1 ILJ; [2013] 6 MLJ 605; [2013] 4 ILR 477; [2013] 9 CLJ 409; [2013] 6 AMR 338 278, the Federal Court held:

"The appellant had knowingly made a false declaration and with respect, which in our view, in the circumstances and facts of this case is not a minor misconduct, given the fact that the appellant had signed and accepted the code of conduct which clearly stipulates that: "an employee shall not be employed, engaged or be concerned in any kind of trade or business nor shall he/she serve on the Board of Directors of any other company, while in the employment within the ***PANZANA GROUP OF COMPANIES****".*

Conclusion

[53] Having borne in mind s 30(5) of the Industrial Relations Act 1967, acting in equity and good conscience and the substantial merit of the case without regard to technicality and legal form, the Court finds that the Company had proven on the balance of probabilities that the Claimant's dismissal was with just cause or excuse.

[54] Hence, the Claimant's claim against the Company is hereby dismissed.

HANDED DOWN AND DATED THIS 22ND DAY OF DECEMBER 2025.

-signed-

(RUSITA BINTI MD LAZIM)
CHAIRMAN
INDUSTRIAL COURT OF MALAYSIA
PENANG